

If you made the trades from a domestic corporation's trading account, you must pay 25% tax plus any applicable surcharges and cess.

Key Tax Rules Trading from Domestic Corporations

Tax Payable: 25%

**Expenses that reduce
taxable gains**

**If Tax liability > ₹10,000
in a financial year**



Brokerage Fees



**Pay advance tax in
installments for the year**



Transaction Fees



Other Related Expenses

Audit Rule: Necessary Audit for turnover > ₹1 Cr in a financial year

You can deduct brokerage fees, transaction costs, and other related expenses to reduce taxable gains. You must note that **if your total tax liability exceeds ₹10,000 in a financial year, you must pay advance tax instalments throughout the year.**

Under Section 44AB of the Income Tax Act, an audit of your accounts may be essential if your turnover exceeds ₹1 crore in a financial year.